



Class 9

PEOPLE AS RESOURCE

Ch 2 | Class 9 S.St. (Economics)

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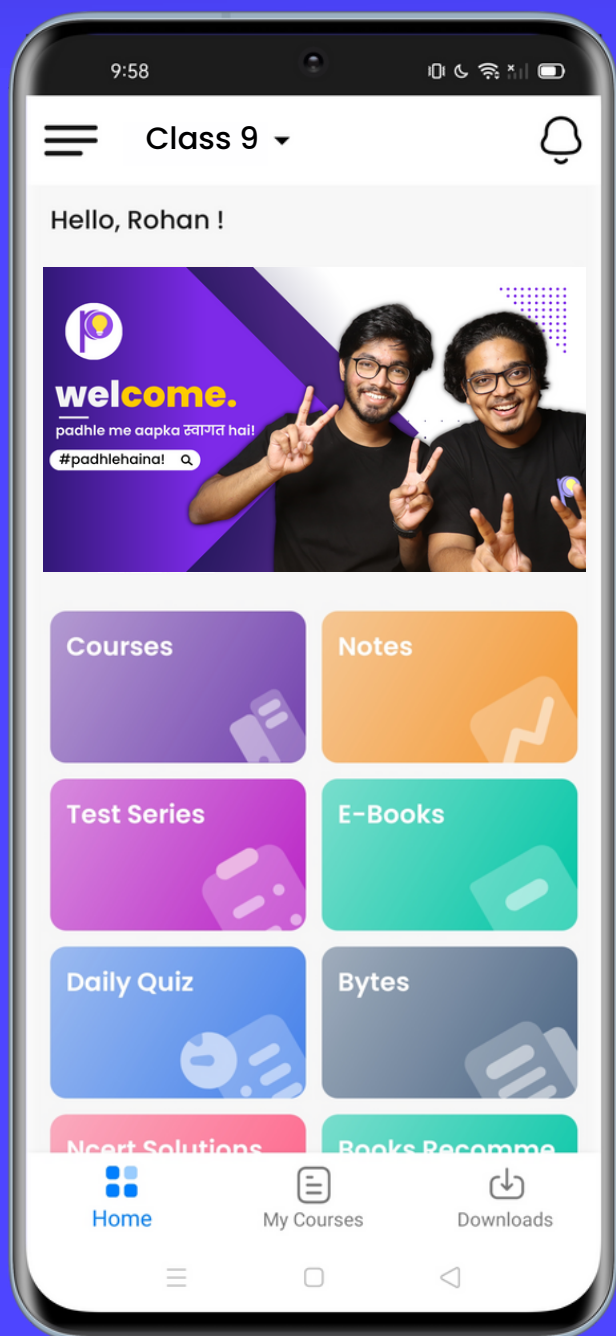
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PEOPLE AS RESOURCES

★ Overview

- ▶ The chapter 'People as Resource' is an effort to explain population as an asset for the economy rather than a liability.
- ▶ Population becomes human capital when there is investment made in the form of education, training and medical care.
- ▶ In fact, human capital is the stock of skill and productive knowledge embodied in them.

India's Green Revolution is a dramatic example of how the input of greater knowledge in the form of improved production technologies can rapidly increase the productivity of scarce land resources. India's IT revolution is a striking instance of how the importance of human capital has come to acquire a higher position than that of material, plant and machinery.

Source: Planning Commission, Govt. of India.



- ▶ 'People as Resource' is a way of referring to a country's working people in terms of their existing productive skills and abilities.
- ▶ Looking at the population from this productive aspect emphasises its ability to contribute to the creation of the Gross National Product.
- ▶ Like other resources population also is a resource — a 'human resource'.

This is the positive side of a large population that is often overlooked when we look only at the negative side, considering only the problems of providing the population with food, education and access to health facilities.

When the existing 'human resource' is further developed by becoming more educated and healthy, we call it 'human capital formation' that adds to the productive power of the country just like 'physical capital formation'.

- ▶ Investment in human capital (through education, training, medical care) yields a return just like investment in physical capital.
- ▶ This can be seen directly in the form of higher incomes earned because of higher productivity of the more educated or the better trained persons, as well as

the higher productivity of healthier people.

- ▶ Not only do the more educated and the healthier people gain through higher incomes, society also gains in other indirect ways because the advantages of a more educated or a healthier population spreads to those also who themselves were not directly educated or given health care.
- ▶ In fact, human capital is one way superior to other resources like land and physical capital :
 - Human resource can make use of land and capital.
 - Land and capital cannot become useful on its own!
- ▶ For many decades in India, a large population has been considered a liability rather than an asset.
 - But a large population need not be a liability.
- ▶ It can be turned into a productive asset by investment in human capital (for example, by spending resources on education and health for all, training of industrial and agricultural workers etc.

► The two following cases illustrate how people can try to become a more productive resource :

Story of Sakal

There were two friends Vilas and Sakal living in the same village Semapur. Sakal was a twelve-year-old boy. His mother Sheela looked after domestic chores. His father Buta Chaudhary worked in an agricultural field. Sakal helped his mother in domestic chores. He also looked after his younger brother Jeetu and sister Seetu. His uncle Shyam had passed the matriculation examination, but, was sitting idle in the house as he had no job. Buta and Sheela were eager to teach Sakal. They forced him to join the village school which he soon joined. He started studying and

completed his higher secondary examination. His father persuaded him to continue his studies. He raised a loan for Sakal to study a vocational course in computers. Sakal was meritorious and interested in studies from the beginning. With great vigour and enthusiasm he completed his course. After some time he got a job in a private firm. He even designed a new kind of software. This software helped him increase the sale of the firm. His boss acknowledged his services and rewarded him with a promotion.

Story of Vilas

Vilas was an eleven-year old boy residing in the same village as Sakal. Vilas's father Mahesh was a fisherman. His father passed away when he was only two years old. His mother Geeta sold fish to earn money to feed the family. She bought fish from the landowner's pond and sold it in the nearby *mandi*. She could earn only Rs 20 to 30 a day by selling fish. Vilas became a patient of arthritis. His mother could not afford to take him to the doctor. He could not go to school either. He was not interested in studies. He helped his mother in cooking and also looked after his younger brother Mohan. After some time his mother fell sick and there was no one to look after her. There was no one in the family to support them. Vilas, too, was forced to sell fish in the same village. He like his mother earned only a meagre income.

- ▷ In the two case studies we saw Sakal went to school and Vilas did not go.
- ▷ Sakal was physically strong and healthy.
 - There was no need for him to visit the doctor frequently.
- ▷ Vilas was a patient of arthritis.
 - He lacked the means to visit the doctor.
- ▷ Sakal acquired a degree in computer programming.
- ▷ Sakal found a job in a private firm while Vilas continued with the same work as his mother.
- ▷ He earned a meagre income like his mother to support a family.
- ▷ In the case of Sakal, several years of education added to the quality of labour.
- ▷ This enhanced his total productivity.
- ▷ Total productivity adds to the growth of the economy.
- ▷ In case of Vilas, there could not be any education or health care in the early part of his life.
- ▷ He spends his life selling fish like his mother.

- ▶ Henceforth, he draws the same salary of unskilled labour as his mother.
- ▶ Investment in human resource (via education and medical care) can give high rates of return in the future.
- ▶ A child, too, with investments made on her education and health, can yield a high return in the form of higher earnings and greater contribution to society.
- ▶ Educated parents are found to invest more heavily on the education of their child.
- ▶ This is because they have realised the importance of education for themselves.
- ▶ They are also conscious of proper nutrition and hygiene.
- ▶ In contrast, a vicious cycle may be created by disadvantaged parents who, themselves uneducated and lacking in hygiene, keep their children in a similarly disadvantaged state.
- ▶ Countries like Japan have invested in human resource.
- ▶ They did not have any natural resource.
- ▶ These countries are developed/rich countries.

▷ They import the natural resource needed in their country.

* How did they become rich / developed ?

- They have invested on people especially in the field of education and health.
- These people have made efficient use of other resource like land and capital.
- Efficiency and the technology evolved by people have made these countries rich / developed.

* Economic Activities by Men and Women

- Like Vilas and Sakal, people have been engaged in various activities.
 - We saw that Vilas sold fish and Sakal got a job in the firm.
- The various activities have been classified into three main sectors i.e., primary, secondary and tertiary.
- Primary sector includes agriculture, forestry, animal husbandary, fishing, poultry farming, mining and quarrying.
- Manufacturing is included in the secondary sector.

- Trade, transport, communication, banking, education, health, tourism, services etc. are included in the tertiary sector.

